

Olevel

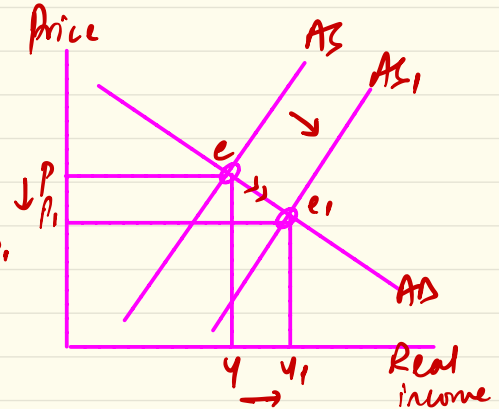
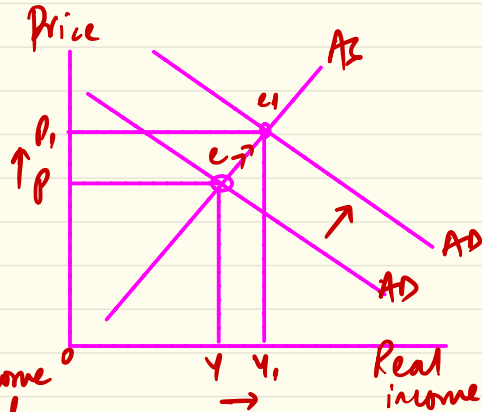
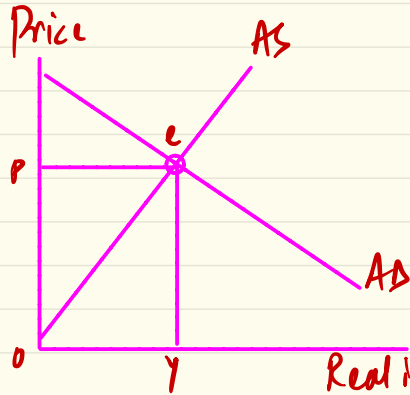
Chp:- Inflation

Topic:- Demand pull
inflation

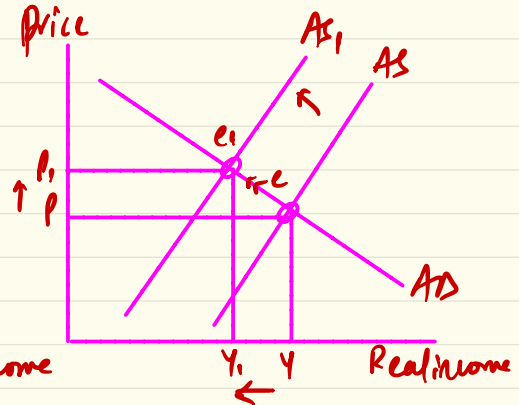
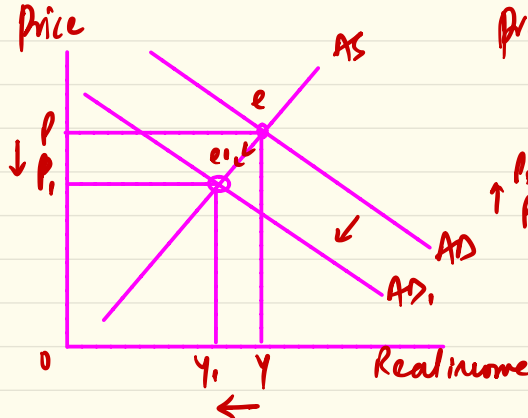


Zarq Mushtaq

Macroeconomic equilibrium ($AD=AS$)

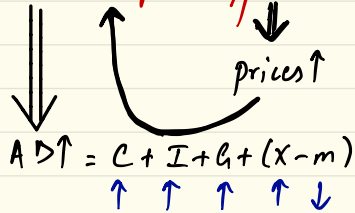


* Where aggregate demand is equal to aggregate supply, that is, the total demand of the economy is equal to total supply of the economy!



Causes of inflation $\Rightarrow$ prices $\uparrow \Rightarrow$ Because of shortage $\Rightarrow$ Reasons for shortage $\begin{cases} \textcircled{1} AD \uparrow \\ \textcircled{2} AS \downarrow \end{cases}$

① Demand pull inflation



case #3 $G \uparrow$
 e.g. Issue of Bonds
 Infrastructure / Subsidies
 case #4 $X(TR) \uparrow$
 e.g. Subsidies $\rightarrow X$ prices $\downarrow$
 $X(TR) \uparrow \leftarrow X$ Qty $\uparrow$

case #1 $C \uparrow$
 e.g. Income tax $\downarrow$
 Disposable income $\uparrow$
 $C \uparrow \Rightarrow AD \uparrow$

case #5 $m(TE) \downarrow$
 Tariff $\rightarrow$ Tax on imported goods
 m prices $\uparrow \rightarrow m$ Qty $\downarrow \rightarrow m(TE) \downarrow$

case #2 $\Rightarrow I \uparrow$
 e.g. interest rate (r) $\downarrow$

Savers	Borrowers
save $\downarrow$	cost of Borrowing $\downarrow$
Spend $\uparrow$	Borrow $\uparrow$
$C \uparrow$	$I \uparrow$

Interest rate and Investment
 have a negative relationship

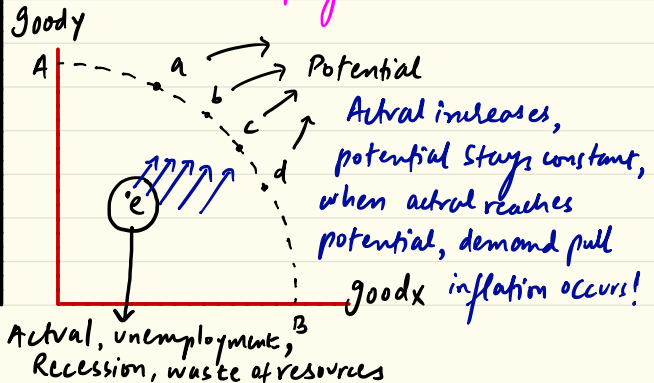
$\rightarrow$ Rate of return or cost of Borrowing!

Shortrun (mild inflation)

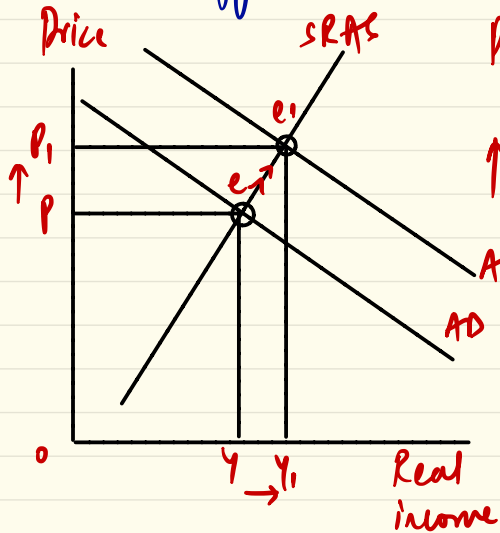
Situation: Recession
 policy: Income tax $\downarrow$
 Disposable income $\uparrow$
 $C \uparrow$

$AD \uparrow$ — Investment $\uparrow \rightarrow$ income $\uparrow \rightarrow AD \uparrow$
 production $\uparrow \rightarrow$ wages $\uparrow \rightarrow$ income $\uparrow \rightarrow AD \uparrow$
 Demand $\uparrow \rightarrow$ Tax revenue $\uparrow \rightarrow G \uparrow \rightarrow$ income $\uparrow \rightarrow AD \uparrow$
 Employment $\uparrow$

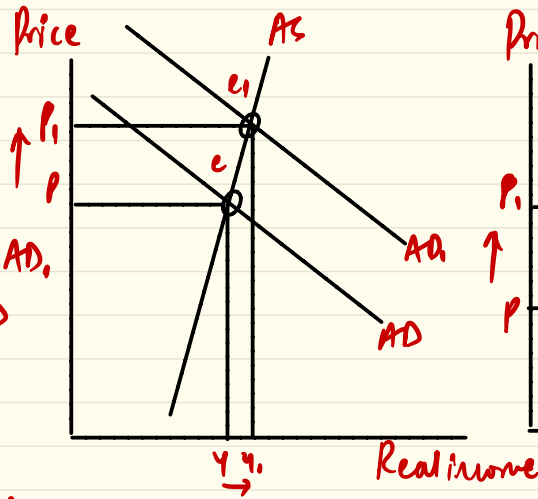
Shortrun - multiplier effect, income, output and employment increases!



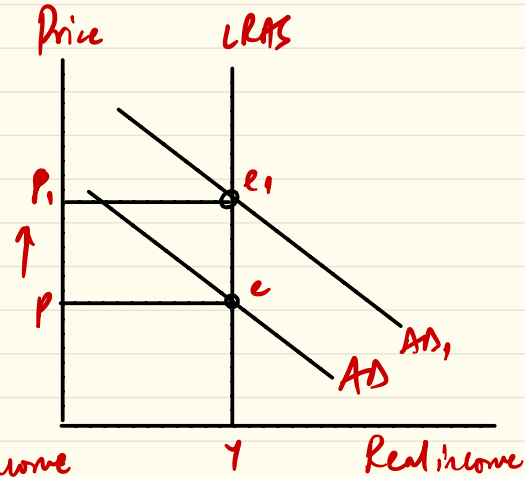
Effect of increase in aggregate demand



Beneficial !
'Mild'



Harmful !
'Suppressed'



Dangerous !
'Hype'

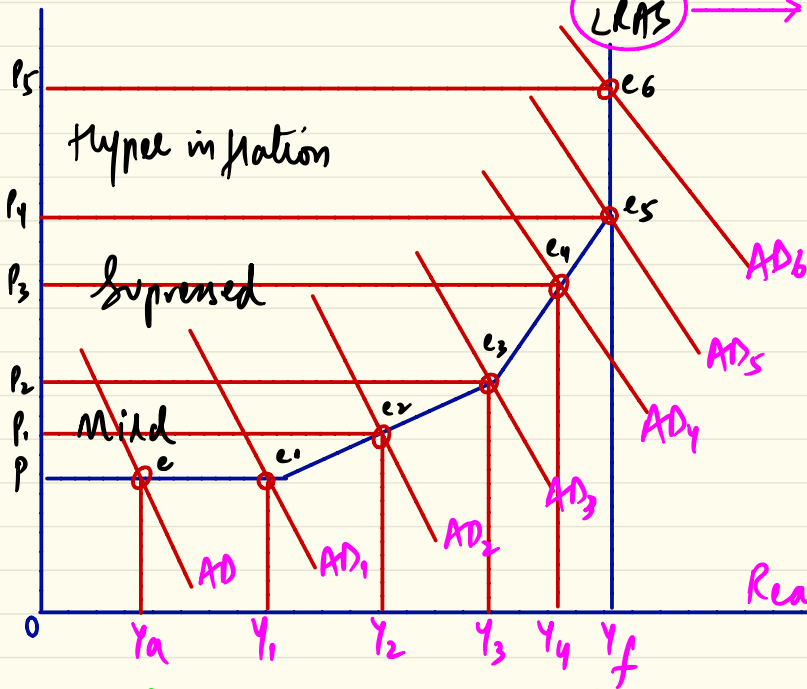
Demand pull inflation

When an increase in aggregate demand is not met by increase in aggregate supply, it creates shortage, which causes rise in price level, that is demand pull inflation.

In short run, when resources are available or underutilized, a rise in aggregate demand is beneficial to the economy because it will create multiplier effect in terms of rise in income, output and employment, in this situation inflation is desirable as the rate of inflation is stable, that is mild inflation. Once economy is close to its full employment or its potential, a rise in aggregate demand will increase prices by greater extent than the rise in real income, this is suppressed inflation, an alarming situation to an economy. If the economy reaches to its potential, a rise in aggregate demand will only increase prices, that is dangerous to an economy, known as hyperinflation.

Demand pull inflation (Combining all stages)

Price



LRAS

Longrun Aggregate Supply

$e_5 - e_6$:- Hyper

$e_3 - e_5$:- Suppressed

$e_1 - e_3$:- Mild

Y_f :- potential

Y_a :- Actual

Gap between Y_f and Y_a is Unemployment.

Unemployment or Deflationary gap or Recessional gap ($Y_f > Y_a$)

Questions

Marks:- 28!

Q1 Explain the factors that can increase aggregate demand? 8

Q2 Explain the effect of increase in aggregate demand in shortrun and longrun? 8

↓ ↓
mild, suppressed and hyper